

Nadim Elayan Balagué

Ph.D. Candidate at the University of Michigan

Department of Economics
University of Michigan
611 Tappan Street
Ann Arbor, Michigan 48109-1220

☎ +1 (734) 9267306
✉ nadime@umich.edu
✉ nadimelayan92@gmail.com
Website: nadimelayan.github.io

FIELDS

Primary Field: Macroeconomics

Secondary Fields: International Economics and Labor Economics

EDUCATION

University of Michigan
Ph.D. in Economics

Ann Arbor, Michigan
August 2017 - June 2024

M.A. in Economics

August 2017 - April 2019

Barcelona School of Economics
M.Sc. in International Trade, Finance and Development

Barcelona, Spain
September 2014 - June 2015

Universitat Pompeu Fabra
B.A. in Economics

Barcelona, Spain
September 2010 - June 2014

DISSERTATION: On the Real and Persistent Effects of Business Cycles

- Chapter 1: "*Strategic or Scarred? Disparities in College Enrollment and Dropout Response to Macroeconomic Conditions*". [Job Market Paper]

Recessions create enduring effects, or scars, on young individuals' careers. I investigate how educational choices amplify or mitigate these scarring effects by income. Low-income young people face dual scarring effects: an increased likelihood of dropping out of college and enduring negative labor market entry effects. High- and middle-income young people strategically evade these repercussions by delaying labor market entry through timely college enrollment during economic downturns. I quantify the lifetime repercussions of experiencing a recession during these critical phases using a dynamic life-cycle model with educational choices calibrated to US data. I find that the negative consequences of recessions are largely concentrated on the poorest subset within the low-income group, who endure a 40% reduction in lifetime consumption if a recession occurs while they are enrolled in college. A recession that occurs around the time of high school graduation hinders the college attendance of the second poorest subset within the low-income group, causing a 24% lifetime consumption loss.

- Chapter 2: "*State Dependent Okun's Law: A Selective Labor Hoarding Approach*".

In this paper I show that Okun's Law, the relationship between changes in the unemployment rate and real GDP growth, is state dependent: the relationship is stronger during recessions. I hypothesize that this state dependency arises from firms engaging in selective labor hoarding. If firms hoard high-skilled workers outside of recessions to economize on training costs, the Okun relationship will be relatively flat in those times. Such labor hoarding becomes untenable during large recessions, which produces a nonlinear response of unemployment. I build a dynamic model of directed search with heterogeneous firms, endogenous exit, and training costs that generates the nonlinear response of unemployment to changes in real GDP.

- Chapter 3: "*Global Supply Chains and regional shocks*", with Jose Ramon Moran

This paper explores how regional shocks affect the formation of global supply chains, recognizing the trade-off firms face when choosing the sourcing location of their inputs. On the one hand, sourcing from similar countries entails a lower risk of being exposed to regional shocks. On the other hand, it implies firms are less able to take advantage of the pattern of comparative advantage across the world. Using customs data on Mexican firms we document how firms weigh this trade-off and whether there is sectoral heterogeneity in this behavior. We study whether this heterogeneity is the result of sector-specific input complementarity. We build a model of global sourcing that accounts for comparative advantage being driven by geographical location and exposure to regional shocks. With our model, we explore the effects that an episode of increased regional risk, the global COVID-19 pandemic, had on firms' global supply chain formation.

RESEARCH EXPERIENCE

University of Michigan	Ann Arbor, Michigan
<i>Research Assistant for Professor Veronica Santarosa</i>	<i>Fall 2021</i>
<i>Research Assistant for Professor Matthew D. Shapiro</i>	<i>Summer 2019</i>
<i>Research Assistant for Professor Pablo Ottonello</i>	<i>Summer 2018</i>
Centre de Recerca en Ecnomia Internacional	Barcelona, Spain
<i>Research Assistant for Professor Giacomo Ponzetto</i>	<i>Winter 2015</i>

TEACHING EXPERIENCE

University of Michigan, Department of Economics	Ann Arbor, Michigan
<i>Head Graduate Student Instructor (Principles of Macroeconomics)</i>	<i>Fall 2022-2024</i>
<i>Graduate Student Instructor (Principles of Macroeconomics)</i>	<i>Fall 2018-2021 and Winter 2019</i>
<i>Graduate Student Instructor (Principles of Microeconomics)</i>	<i>Winter 2020-2021, and Winter 2023-2024</i>
<i>Graduate Student Instructor (Intermediate Macroeconomic Theory)</i>	<i>Winter 2022</i>

PROFESSIONAL EXPERIENCE

IESE Business School

Research assistant

Barcelona, Spain

September 2016 - June 2017

CaixaBank Research

Intern in the Macroeconomics department

Barcelona, Spain

September 2015 - June 2016

SKILLS, LANGUAGES and CITIZENSHIP

- **Computing:** Stata, Matlab, Python
- **Languages:** Catalan and Spanish (Native). English (Advanced)
- **Citizenship:** Spanish.

REFERENCES

- **Pablo Ottonello (co-chair)**

Associate Professor
Department of Economics
University of Maryland
ottonell@umd.edu, **Website**

- **Gabriel Ehrlich**

Director
Research Seminar in Quantitative Economics
University of Michigan
gehrlich@umich.edu, **Website**

- **Dmitriy Stolyarov (co-chair)**

Professor
Department of Economics
University of Michigan
stolyar@umich.edu, **Website**

- **Adam Stevenson (teaching)**

Lecturer
Department of Economics
University of Michigan
adamstev@umich.edu, **Website**